

TERMINATION CLAUSE • AUDIT WORKSHEET

Five Termination Terms Decide Your Leverage. **Most Plans Are Locked In Without Knowing It.**

Three audit passes. One termination clause. One exit timeline.

This handout decodes the five termination clause terms: termination for convenience, termination for cause, runoff period, early termination fee, and data return obligation. The termination clause determines your exit options, and your exit options determine your leverage throughout the entire relationship, even when you have no intention of terminating.

01 Read the termination for convenience and cause clauses

Find the termination for convenience clause. Note the notice period (90 days vs. 180 days makes a material difference).

Find the termination for cause clause. Note how 'cause' is defined. Vague 'material breach' language favors the PBM.

02 Audit the runoff period and termination fees

Find the runoff period clause: the window after termination during which the PBM continues to process claims. Long runoff = captive plan with no competitive pressure.

Find any early termination fees. If the fee exceeds projected switching savings, the leverage is neutralized.

03 Read the data return obligation

Find the data clause that governs your data on termination. Required: claims history, PA records, accumulator data, eligibility records. Required timeline: 30 days, NCPDP standard format.

Without strong data return language, transition to a new PBM is delayed and expensive.

04 The Pattern PBS Sees Most Often

Across hundreds of PBM contract reviews and audits annually at PBS: most termination-clause negotiations never result in termination. But a strong termination provision changes every other negotiation. When the PBM knows you can leave efficiently, they negotiate pricing, rebates, and service levels with more urgency. Vague termination language is its own concession.

05 Paste-Ready: Send to Your Broker or PBM

TERMINATION CLAUSE WORKSHEET

Termination for Convenience

Notice period: ___ days (90 = strong · 180 = weak)

Termination for Cause

How is "cause" defined? _____

Specific triggers named? Y / N

Runoff Period

Length: ___ days

Pricing during runoff: same as contract / different (specify)

Early Termination Fee

Amount: \$___ or formula: _____

Caps after: month ___

Data Return Obligation

Timeline: ___ days from termination notice

Format: NCPDP standard / other

Scope: claims / PAs / accumulator / eligibility (check all that apply)

Renewal redline priorities (top 3):

1. _____
2. _____
3. _____

06 This Quarter's Action Plan

STEP 1 · THIS WEEK

Read the termination clauses end to end

Most plan sponsors haven't read them since signing.

STEP 2 · WEEK 2

Document the redline priorities

Use the worksheet above.

STEP 3 · AT RENEWAL

Negotiate the redlines

90-day notice. Specific cause triggers. Short runoff. 30-day NCPDP-format data return.

STEP 4 · ONGOING

Treat termination clauses as renewal-leverage even when not terminating

The clause shapes the relationship.